

Chapter 6

A Simple Asset Allocation Model That Works

“Any intelligent fool can make things bigger, more complex, and more violent. It takes a touch of genius—and a lot of courage—to move in the opposite direction.”

—Albert Einstein

Einstein is right. In general, complexity implies opacity, and is often a calling card for a manager who is trying to charge excessive fees for a strategy that is easily replicable. One example where we see a healthy dose of complexity in the financial services industry is in asset allocation. The dominant paradigm utilized by massive institutional investors and professional investors is modern portfolio theory, which involves the use of optimization procedures that seek to maximize expected return for a given level of risk. The telltale sign that a manager is using modern portfolio theory is the classic risk/reward graph that shows the “efficient frontier” and the capital allocation line, as set forth in [Figure 6.1](#).